

EXAM 7 – SPRING 2011

11. (3.75 points)

a. (1.5 points)

Describe three reasons why claim report lags for reinsurers tend to be longer than for primary insurers.

b. (1 point)

Describe two reasons why reported losses for reinsurers generally develop more than for primary insurers after the claims have been reported.

c. (0.75 point)

Briefly describe three reasons why many standard actuarial loss development methods used by primary insurers may not work as well for reinsurers.

d. (0.5 point)

Briefly describe two reasons why industry loss development statistics may not be useful for estimating loss development patterns for a reinsurer.

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Sample Solutions
Exam 07, 2011, Question 11

Solution 1

a)

1. Longer reporting pipeline (reported to cedant, to reinsurance department, to intermediary, to reinsurer)
2. May also be lengthened by undervaluation of serious claims by cedant.
3. Some mass tort claims have extreme delays in discovery; loss dates may be decided by courts.

b)

In general, economic and social inflation causes this development. There could be a tendency to underreserve allocated loss adjustment expenses. Thus, early on the available information may indicate that a claim will pierce the reinsurance retention, but not yet indicate the ultimate.

c)

1. The exposure assumed by a reinsurance company can be extremely heterogeneous. This is a problem because most loss reserving methods require homogeneous data.
2. Many reinsurance contracts are unique and even when there exists larger aggregates of similar exposure, claim frequency may be so low and report lags so long that there is extreme fluctuation in historical data.
3. A reinsurer knows much less about specific exposures being covered than does a primary carrier.

d)

1. Much less specificity of information
2. Longer claim report